

UNIT- III

(A) LAW OF COPY RIGHTS AND PATENTS

A **copyright** is a type of [intellectual property](#) that gives its owner the exclusive legal right to copy, distribute, adapt, display, and perform a [creative work](#), usually for a limited time. The creative work may be in a literary, artistic, educational, or musical form. Copyright is intended to protect the original expression of an idea in form of a creative work, but not the idea itself.¹

Copy right is available for original works. Protection exists automatically from the time a work is created in fixed form. Registration is not compulsory, it provides protection from infringement, claiming damages etc. Copy right protection is available throughout the life of the author plus 70 yrs after the death of the author.

BASIC s REQUIREMENTS FOR COPYRIGHTABILITY:-

1.Originality of the material:-Typically, a work must meet [minimal standards of originality](#) in order to qualify for copyright, and the copyright expires after a set period of time (some jurisdictions may allow this to be extended). Different countries impose different tests, although generally the requirements are low; in the [United Kingdom](#) there has to be some "skill, labour, and judgment" that has gone into it.^[47] In [Australia](#) and the United Kingdom it has been held that a single word is insufficient to comprise a copyright work. However, single words or a short string of words can sometimes be registered as a [trademark](#) instead. Copyright law recognizes the right of an author based on whether the work actually is an [original creation](#), rather than based on [whether it is unique](#); two authors may own copyright on two substantially identical works, if it is determined that the duplication was coincidental, and neither was copied from the other.

2. Fixation of material:- This Act protects the works that are “Fixed in a tangible form.. It is said to be fixed when it is embodied in a copy or phonorecord, and it is permanent and stable to permit it to be reproduced or communicated to others. There are two categories of tangible expressions in which works can be expressed. (a)Copies (b).Phonorecords.

(a).Copies:- It is a material object from which a work can be perceived, reproduced, or communicated either

directly by human perception or with the help of machine.Ex. a famous photograph that appears on a

book, calendar, T-shirt, coffee mug etc. is a “Copy”, because they are material objects from which can be perceived and understood.

(b).Phonorecords:- It is a material object that focuses on fixing of sounds from which they can be perceived, reproduced or communicated either directly or with the help of the machines.Ex. Cassettes, CD records etc.

3.Works of authorship:- It is another requirement to get copy right protection. Protection is provided to original work of authorship that can be fixed in any tangible form.

DIFFERENT TYPES OF WORKS THAT CAN BE PROTECTED UNDER COPY RIGHT ACT:-

1. **Literary Works:** This category encompasses various forms of written works such as novels, poems, short stories, articles, essays, and computer code.
2. **Artistic Works:** Artistic works include paintings, drawings, sculptures, photographs, illustrations, and architectural designs.
3. **Musical Works:** This category covers compositions, including both vocal and instrumental music, as well as musical arrangements.
4. **Dramatic Works:** This includes plays, scripts, screenplays, and other forms of dramatic writing.
5. Computer software or programs
6. **Audiovisual Works:** This category encompasses works that combine visual and audio elements, including cinematographic films, videos, documentaries, television shows, and multimedia presentations.
7. **Sound Recordings:** Copyright protection can be granted for the recording of sound, such as songs, speeches, lectures, or other audio recordings.
8. **Architectural Works:** Architectural designs, plans, and blueprints for buildings or structures can be eligible for copyright protection.

It's important to note that these categories are not exhaustive, and copyright protection may extend to other types of creative works as well.

Each work is evaluated based on its originality, creativity, and expression to determine its eligibility for copyright registration

SOME TYPES OF WORKS ARE NOT QUALIFIED FOR COPYRIGHT PROTECTION

In addition to the categories mentioned earlier, copyright protection does not extend to certain intangible works. These include:

1. **Ideas and Concepts:** Copyright does not protect abstract ideas, concepts, or theories. It only protects the tangible expression of these ideas. For example, you cannot claim copyright on the concept of time travel or the idea of a love story.
2. **Systems and Methods:** Copyright does not protect systems, methods, or processes. These may include scientific, mathematical, or business processes, algorithms, or formulas. However, specific expressions or software code implementing these methods may be eligible for copyright protection.
3. **Facts and Data:** Copyright does not protect purely factual information or data. Facts, statistics, historical events, and other similar information are considered part of the public domain and cannot be exclusively claimed through copyright.
4. **Works without Originality or Creativity:** Works that lack originality or are deemed too trivial or common may not be eligible for copyright registration. This includes simple lists, calendars, phone directories, or basic forms.

5. **Works in the Public Domain:** Works that are in the public domain, meaning they are not protected by copyright, are not eligible for copyright registration. These include works whose copyright has expired, works dedicated to the public domain, or works that are not subject to copyright protection.
6. Works that do not have a physical presence.

RIGHTS OF THE OWNER OF A COPYRIGHT:

In order to exercise and enjoy the position of ownership of the copyrighted work, certain rights have been conferred to the owner in terms of morality and on monetary benefits by the copyright Act, 1957, and are also recognized by International conventions like TRIPS and Berne.

Economic rights of a Copyright Owner –

Any right that yields or payoffs the owner monetarily are said to be the economic rights. The economic right of the owner are been listed out in Section 14 of the principal Act, under the meaning of copyright.

Right to reproduce the work :

Reproduction is an act of copying from the previously finished works or giving it a differential form by adding, editing or modifying the same. In short it means the right to copy. Such right shall exclusively be exercised by the owner of the work and shall not be infringed by any other person since the act of reproduction of the work may economically make benefits to its owner. Be it a book which has been published or a compact disc that has been recorded and manufactured, right of reproduction of copyrighted works are the basis to protect a work from the act of exploitation. The concept of substantial and material copying has also been enclosed within the reproductive right. In regards to the violation of copyright of the owner, it is not necessary to copy the entire subject matter of the work to held responsible for such infringement and a part of the reproduction of a particular work would be enough for the infringement of the same.

Right to distribute in market :

Similar to the right of reproduction, the owner of the copyrighted work also has a right to distribute in the market and make money out of it. The act of distribution may be in the form of sale, lending for free or for a consideration, rental, or free distribution by the way of gift. The right of distribution differs from case to case and shall not be exercised in a similar manner at each instance. If the work that has been sold is a book, the **rule of exhaustion** shall be applied. Wherein the right to distribute the book will be exhausted and ceases to exist after the first sale of it and the buyer of the book will be further entitled to resale it as a second hand material. Whereas this condition is not the same in case if the owner of copyright set up a library and charges rental fee to read the books available there and the law does not prohibit to do so also the rule of exhaustion will not come to play.

Right to communicate to the public :

It means letting or making the product/work available to the public by way of broadcasting, simulcasting or webcasting. If a person not being the owner of the work, communicates it to the public would amount to the act of infringement. In **Indian performing right society Ltd. V Aditya Pandey**, the Delhi High Court held that “*the defendant is accordingly restrained from communicating any of such works to the public, or performing them, in the public, without such appropriate authorization, or licensing*”.[\[2\]](#)

Right of adaptation :

Conversion, alteration, transcription or rearranging a copyrighted work means and includes the right of adaptation. These rights are exclusively available only to musical, literary or dramatical works and are not extended to the computer programmes. Although the right of adaptation are being protected by the statute, it is also been governed by the principles laid down under a classical case, by the Privy Counsel, in **Macmillan and Company Ltd. V K. and J. Cooper**[\[3\]](#). The defendants were alleged on infringing the book published by the plaintiff and the nature of the book which was previously published by the Plaintiff was put to test and was figured out the work was made out of a non – copyrighted source, such that the Plaintiffs book lacked its nature of originality and held that the defendants are not guilty of infringement. The principle employed here is that, although a work has been adapted from such source it must possess a quality of originality to an extent.

Right to translate :

The owner of the copyrighted work has a right to translate his work to any other languages he wants.

In **Academy of General Edu., Manipal & ANR. Vs. B. Malini Mallya**[\[4\]](#) – petition was filed by the plaintiff, alleging on the use of his idea without authorization. The Court held that “mere adaption of an idea would not amount the act of infringement and there must be a substantial copy of work to attain the same.

MORAL RIGHTS OF A COPYRIGHT OWNER:

A moral right would stand a step ahead of an economic right in which it is based on the dignity, uniqueness and the reputation that a work has gained and maintained. It has been well illustrated in the case of **Amarnath Sehgal v Union of India**[\[5\]](#), the plaintiff's masterpiece was damaged by the defendant by which it lost its aesthetic and market value. A mandatory injunction was passed by the court in addition of fine amount of 50 lacs as the cost of damage.

The moral rights of the copyright owner has been provided under Section 57 of the principal Act that encompasses three basic moral rights.

- i. Right of paternity;
- ii. Right of integrity; and
- iii. Right to retraction.

Right of paternity :

The right of an owner of copyright to claim and prevent others to claim the ownership of his copyrighted work is said to be a right of paternity. **Sholay Media Entertainment and Pvt. Ltd. V Parag M. Sanghavi**[\[6\]](#), was a landmark judgement delivered on the Right of paternity of the copyright owner, where the court granted protection to the title of the movie which made the defendant to replace his' movie title completely by refraining the use of the name which causes damage to the cult of the name “Sholay” since it was deceptively similar with the same.

Right of integrity :

The right of the owner of the copyright to protect the reputation of his own work from exploitation is the right of integrity. **Sajeev Pillai v. VenuKunnapalli & ors**[\[7\]](#), the respondent was alleged on the act of pre – release publicity of the movie which was yet to be released without any authorized permission. The court granted relief to the aggrieved petitioner by

restraining the respondent to carry on such act which damages the exclusiveness and reputation of the movie.

Right to retraction :

Retraction is an act of taking back the previous assertion made. The author at times may feel to give up his own right as an act of honoring the dignity of his work which sounds like assassinating one's own life for the sake of protecting the so far gained reputation. The principal Act, under section 57 grants the author the right to withdraw from the publication of his work. In simple terms it means waiving of his granted rights for the sake of protection of reputation or integrity. In *Amarnath Sehgal v Union of India*^[8], the court pointed out the right to retraction as to withdraw one's own publication if the author feels the condition of his work is derogatory in nature and is advisable to do the withdrawal of the same. This would be the author's right to retraction.

COPYRIGHT OWNERSHIP ISSUES:-

They arise from determining who has rights to an original work, such as when a work is created by an employee, a freelance contractor, or is a joint creation. The default rule is that the author is the first owner. However, this can change if a work is created under a contract or as part of employment, where ownership often transfers to the [employer or commissioning party](#) as a "work for hire". Complexities also emerge in situations involving [joint works](#) (where multiple authors collaborate to create a single work) and [collective works](#) (like anthologies where authors retain copyright for their individual contributions).

Key Scenarios and Ownership:

- **Employer/Employee:**

When an employee creates a work as part of their employment, the employer typically owns the copyright unless a specific contract states otherwise. This is known as a "work for hire".

- **Freelance Contractors:**

A contractor's work can be a "work for hire" if there's a written agreement specifying this, and the work fits certain categories, such as contributions to a collective work or audiovisual work. Without such an agreement, the contractor generally remains the first owner.

- **Joint Works:**

If multiple authors create a single work with the intent to merge their contributions into a unitary whole, they are considered joint authors and co-owners of the copyright, unless they agree to a different arrangement.

- **Collective Works:**

In a collective work, such as an anthology, each author maintains copyright over their individual contribution. The copyright of the entire compilation, including the selection and arrangement of the works, belongs to the compiler or editor.

HOW TO PREVENT OWNERSHIP DISPUTES:

- **Clear Contracts:**

It is crucial to have clear, written contracts that explicitly define copyright ownership for commissioned works or employee creations.

- **Written Agreements for Joint Works:**

Document the rights and responsibilities of all authors when a work is created by multiple individuals.

- **Understand Employment Agreements:**

Carefully review employment agreements to ensure that IP ownership clauses are properly drafted and understood, especially for software or creative materials developed during work hours.

UNIT.3 (B)

THE LAW OF PATENTS: PROTECTING INVENTIONS

The law of patents is a vital branch of intellectual property law that grants inventors exclusive rights to their inventions for a limited period. It aims to incentivize innovation by allowing inventors to recoup their research and development costs and profit from their creations, while also promoting the dissemination of new knowledge for the benefit of society.

What is a Patent?

A patent is a legal document issued by a government authority (like a Patent Office) that describes an invention and grants the inventor the exclusive right to prevent others from making, using, selling, offering for sale, or importing the patented invention for a specified period. In return, the inventor must publicly disclose the details of their invention, contributing to the collective knowledge base.

Key Pillars of Patent Law (Requirements for Protection)

To be patentable, an invention must generally satisfy several fundamental criteria:

1. **Patentable Subject Matter:**

- **What is patentable:** Inventions generally fall into categories like:
 - **Processes/Methods:** A series of steps or actions to achieve a result (e.g., a manufacturing process, a method of medical treatment).
 - **Machines:** Devices with moving parts that perform a function (e.g., a printing press, a computer).
 - **Manufactures:** Articles that are made or produced (e.g., a tool, a piece of furniture).
 - **Compositions of Matter:** Chemical compounds, mixtures, or substances (e.g., a new drug, a plastic material).

- **Improvements:** New and improved versions of existing inventions.
- **What is generally NOT patentable:**
 - **Abstract ideas:** Pure concepts, algorithms, mathematical formulas without practical application.
 - **Laws of nature:** Fundamental forces or phenomena (e.g., gravity).
 - **Natural phenomena:** Naturally occurring substances or biological processes in their unaltered state.
 - **Perpetual motion machines.**
 - **Human beings** (though genetically modified non-human organisms may be patentable in some jurisdictions).
- 2. **Novelty:**
 - The invention must be new. It cannot have been previously known or described in a prior publication, publicly used, or sold before the patent application's filing date. This is often assessed against "prior art" – all publicly available information before the filing date.
- 3. **Non-obviousness (Inventive Step):**
 - The invention must not be obvious to a person having ordinary skill in the relevant field (a hypothetical skilled person who is aware of all the prior art). It needs to represent a genuine inventive leap, not just a minor tweak or combination of existing technologies that would be readily apparent.
- 4. **Utility (Industrial Applicability):**
 - The invention must have a practical use or be capable of being made or used in industry. It must be functional and have a concrete application.

TYPES OF PATENTS:

- **Utility Patents:** The most common type, protecting the functional aspects of an invention (how it works or what it does). They typically have a term of 20 years from the filing date.
- **Design Patents:** Protect the ornamental design or appearance of an article of manufacture. They are concerned with how something looks, not how it functions. Their term is usually shorter than utility patents (e.g., 15 years from the grant date in the US).
- **Plant Patents:** Protect new and distinct, asexually reproduced varieties of plants.

THE PATENTING PROCESS: (REGISTRATION PROCESS)

The process of obtaining a patent is typically complex, lengthy, and costly. It generally involves:

1. **Invention Disclosure and Assessment:** An inventor identifies an invention and assesses its patentability.
2. **Prior Art Search:** A comprehensive search for existing patents and publications related to the invention to determine novelty and non-obviousness.
3. **Drafting the Patent Application:** This is a highly specialized task involving preparing a detailed description of the invention, including specifications, drawings, and claims. The claims define the scope of legal protection sought.

4. **Filing the Application:** Submitting the application to the relevant national or regional Patent Office.
5. **Examination:** A patent examiner reviews the application to determine if it meets all patentability criteria. This often involves correspondence between the examiner and the applicant (or their patent attorney).
6. **Grant or Rejection:** If the examiner finds the invention patentable, the patent is granted. If not, the application may be rejected, or the applicant may be able to appeal or amend the claims.
7. **Maintenance:** Once granted, patent holders must pay periodic maintenance fees to keep the patent in force.
8. **Enforcement:** Patent holders have the right to sue for infringement if others make, use, sell, or import the patented invention without permission. Remedies can include injunctions and monetary damages.

INTERNATIONAL PATENT PROTECTION:

Patents are territorial; a patent granted in one country only provides protection in that country. To obtain international protection, inventors typically:

- **File national applications:** File separate applications in each country of interest.
- **Utilize the Patent Cooperation Treaty (PCT):** The PCT allows applicants to file a single international application, which then opens the door for national or regional patent filings in numerous countries. It streamlines the application process but does not grant an “international patent.”
- **Regional Patent Systems:** Regions like Europe (European Patent Convention) have systems for obtaining patents that have effect in multiple member countries.

RIGHTS AND RESPONSIBILITIES OF A PATENT HOLDER:

- **Exclusive Rights:** The right to exclude others from practicing the invention.
- **Duty of Disclosure:** The obligation to disclose the invention fully and accurately.
- **Duty of Fair Dealing (in some contexts):** While not explicitly a legal duty in the same way as disclosure, patent holders are expected to use their rights ethically.
- **Maintenance Fees:** The obligation to pay fees to keep the patent in force.

CHALLENGES AND CRITICISMS:

Patent law is not without its controversies. Criticisms include:

- **“Patent Trolls”:** Entities that acquire patents solely to sue others for infringement, rather than to produce products or services.
- **“Patent Thickets”:** Dense networks of overlapping patents that can hinder innovation, especially in fields like technology.
- **Cost and Complexity:** The patenting process can be prohibitively expensive and time-consuming for individuals and small businesses.
- **Scope of Patentable Subject Matter:** Debates continue around the patentability of software, business methods, and genetic material.

In summary, patent law provides a powerful mechanism for protecting inventions, fostering innovation, and advancing technological progress. It is a complex legal field that requires careful navigation and expert guidance.

KEY STAGES OF THE PATENT SEARCHING PROCESS:

STAGE 1: DEFINE THE SEARCH STRATEGY AND SCOPE

1. Understand the Invention/Subject Matter:

- **Core Concept:** What is the fundamental problem the invention solves? What is the core solution?
- **Key Features/Elements:** Break down the invention into its essential components and functionalities.
- **Technical Field:** Identify the specific industry or technology area.
- **Purpose/Functionality:** What does it do? How does it work?

2. Identify Keywords and Synonyms:

- Brainstorm a comprehensive list of keywords related to the invention. Think broadly:
 - **Technical terms:** Specific scientific or engineering jargon.
 - **Synonyms:** Alternative words for the same concept.
 - **Broader terms:** General categories the invention falls into.
 - **Narrower terms:** Specific variations or sub-components.
 - **Problem-oriented terms:** Words describing the problem the invention solves.
 - **Functional terms:** Words describing what the invention does.
- **Example:** For a new type of “self-cleaning water bottle”: keywords could include “water bottle,” “purifying bottle,” “self-cleaning mechanism,” “UV light purification,” “sterilizing,” “filtration,” “hydro-flask,” “beverage container,” “water dispenser.”

3. Identify Patent Classification Codes:

- Patent offices use hierarchical classification systems to categorize inventions (e.g., the International Patent Classification - IPC, and Cooperative Patent Classification - CPC).
- **How to find them:**
 - Look at classification codes on relevant patents found in initial keyword searches.
 - Use classification search tools provided by patent offices.
 - Consult with patent professionals.
- **Benefit:** Classification codes provide a more systematic way to search, as they are independent of language and can uncover relevant patents that might be missed by keyword searches alone.

4. Determine the Scope of the Search:

- **Jurisdiction:** Which countries are you searching in? (e.g., US, EP, JP, CN, WO for PCT applications, or a global search).
- **Time Period:** Are you looking for all prior art, or just art from a specific period?
- **Types of Documents:** Are you looking only for granted patents, or also patent applications, non-patent literature (scientific journals, conference proceedings, technical manuals, websites)?

STAGE 2: CONDUCTING THE SEARCH

This is where you actively use search tools to find relevant documents.

1. Use Patent Databases:

- **Free Public Databases:**
 - **OpenAI Patents:** Excellent for keyword and classification searching, user-friendly interface, links to non-patent literature.
 - **USPTO Patent Full-Text and Image Database (PatFT&AppFT):** For U.S. patents and applications.
 - **Espacenet (European Patent Office):** Comprehensive database for global patent documents, including national patents.
 - **WIPO's Patentscope:** For PCT applications and national collections.
 - **National Patent Office Websites:** Many countries have their own searchable databases.
- **Commercial Patent Databases:** These offer more advanced search functionalities, analytics, and broader coverage, but come with subscription costs (e.g., Derwent Innovation, PatSnap, Questel Orbit).

2. Execute Search Queries:

- **Keyword Searching:** Combine keywords using Boolean operators (AND, OR, NOT) and proximity operators.
- **Classification Searching:** Use the identified IPC/CPC codes to search within specific technology areas.
- **Citation Searching:** Once relevant patents are found, analyze their citations:
 - **Forward Citations:** Patents that cite the found patent (indicate later developments or related technologies).
 - **Backward Citations:** Patents cited by the found patent (indicate prior art that influenced the found patent).
- **Inventor/Assignee Searching:** Search for patents filed by specific individuals or companies.

3. Search Non-Patent Literature (NPL):

- **Importance:** Crucial, as prior art isn't limited to patents. Scientific journals, conference proceedings, technical manuals, dissertations, and even online forums can constitute prior art.
- **Databases:** OpenAI Scholar, IEEE Xplore, ACM Digital Library, PubMed, etc.

STAGE 3: ANALYZE AND REVIEW SEARCH RESULTS

1. **Screen Documents:** Quickly review titles, abstracts, and classification codes of search results to identify potentially relevant documents.
2. **Read and Analyze Key Documents:** For promising results, conduct a more in-depth analysis:
 - **Claims:** The claims define the legal scope of the patent. Determine if the claims read onto your invention.
 - **Description/Specification:** Understand how the invention is described and what problem it solves.
 - **Drawings:** Visual aids can greatly clarify the invention.
3. **Categorize Findings:**
 - **Highly Relevant:** Documents that directly disclose or suggest your core invention or key features.

- **Moderately Relevant:** Documents that disclose some features but not the whole invention, or suggest parts of it.
 - **Less Relevant:** Documents that are only tangentially related.
4. **Document Findings:** Keep a detailed record of all documents reviewed, the search queries used, and the relevance of each document. This is essential for reporting and for future reference.

STAGE 4: REPORT AND STRATEGIZE

1. **Prepare a Search Report:** Summarize the search strategy, the databases searched, the keywords and classifications used, and present the most relevant prior art documents.
2. **Analyze the Impact:**
 - **For Patentability:** Determine if the found prior art anticipates (fully discloses) or renders obvious the invention. Advise on whether to proceed with filing, amend claims, or abandon the invention.
 - **For FTO:** Identify potentially infringing patents and assess the risk. Advise on design-around strategies, licensing, or potential invalidity challenges.
 - **For Validity:** Provide evidence to challenge the claims of a patent

PATENT OWNERSHIP RIGHTS

When a patent is granted, it confers a set of exclusive rights on the patent holder (the patentee). These rights are primarily **negative rights**, meaning they grant the patent holder the power to *exclude* others from practicing the invention within the territorial jurisdiction of the patent.

The core exclusive rights generally include the right to prevent others from:

1. **Making:** Producing, constructing, or manufacturing the patented invention.
2. **Using:** Employing, operating, or utilizing the patented invention.
3. **Selling:** Offering for sale, marketing, or distributing the patented invention.
4. **Offering for Sale:** Making the invention available for purchase.
5. **Importing:** Bringing the patented invention into the country where the patent is in force.

Territoriality: It's vital to remember that patent rights are **territorial**. A patent granted by the United States Patent and Trademark Office (USPTO) only provides rights within the United States. To obtain protection in other countries, separate patent applications must be filed in each respective country or region (or through international systems like the PCT).

Duration of Rights: Patent rights are not perpetual. They are granted for a limited term.

- **Utility Patents:** Typically 20 years from the filing date.
- **Design Patents:** Usually a shorter term, such as 15 years from the grant date (in the US).
- **Plant Patents:** Typically 20 years from the filing date.

The patent holder has the right to enforce these exclusive rights against infringers through legal action.

Who Owns the Patent?

The initial owner of a patent is typically the **inventor(s)**. However, in many cases, inventors assign their rights to their employer, especially if the invention was developed during their employment and using company resources.

- **Inventors:** The individuals who conceived and contributed to the invention.
- **Assignees:** The entities (usually companies) to whom inventors have transferred ownership of the patent rights.

It's important for inventors to clarify ownership at the outset, especially when working for an employer, through clear employment agreements.

TRANSFER OF PATENT RIGHTS

Patent rights, like other forms of property, can be transferred from one party to another. The two primary ways patent rights are transferred are through:

1. ASSIGNMENT

- **Definition:** An assignment is the **complete transfer of ownership** of a patent or a patent application from the current owner (the assignor) to another party (the assignee). This is essentially selling the patent.
- **Effect:** The assignee becomes the new legal owner of all rights associated with the patent.
- **Formality:** Assignments must typically be in writing and signed by the assignor. They are often recorded with the relevant patent office to provide public notice of the ownership change.
- **Common Scenarios:**
 - An inventor assigns their patent to their employer.
 - A company sells a patent to another company as part of a business transaction.
 - A patent holder assigns a patent to a new entity created for licensing purposes.

2. LICENSING

- **Definition:** A license is a **permission** granted by the patent holder (the licensor) to another party (the licensee) to practice the patented invention under specific terms and conditions, without the patent holder transferring ownership. The patent holder retains ownership but grants certain rights.
- **Effect:** The licensee gains the legal right to practice the invention within the scope of the license, and they are protected from infringement claims by the licensor for that specific activity. However, the patent holder can still practice the invention themselves (unless explicitly excluded in the license) and can license the same patent to other parties (unless it's an exclusive license).
- **Types of Licenses:**
 - **Exclusive License:** The licensor grants rights to only one licensee for a specific field of use, territory, or time. The licensor cannot practice the invention in that licensed field themselves, nor can they grant licenses to others in that field.
 - **Non-exclusive License:** The licensor grants rights to a licensee but can also practice the invention themselves and grant licenses to other parties.
 - **Sole License:** The licensor grants rights to one licensee and can practice the invention themselves, but cannot grant licenses to any other parties.
- **License Terms:** Licenses involve a contract outlining:
 - The scope of the granted rights (field of use, territory, exclusivity).
 - **Royalties:** Payments made by the licensee to the licensor, often based on sales or profits.

- **Grant-back clauses:** The licensee may grant certain rights back to the licensor.
- **Conditions:** Obligations of both parties.

WHY TRANSFER PATENT RIGHTS?

- **Commercialization:** Assigning or licensing a patent allows the invention to be brought to market by parties who have the resources, expertise, or desire to do so.
- **Revenue Generation:** Licensing royalties and assignment sales provide financial returns for inventors and patent holders.
- **Strategic Partnerships:** Licensing can create strategic alliances between companies.
- **Focus on Core Competencies:** Companies may license out patents in areas outside their core business to focus on what they do best.
- **Divestment:** Companies may sell patents they no longer intend to use as part of restructuring or strategic shifts.

PATENT OWNERSHIP ISSUES

Patent ownership issues concern the **legal rights to an invention**—who owns it, who controls it, and who can exploit it. Since patents grant exclusive rights, disputes are common when multiple people contribute to or fund an invention.

1. Inventorship vs. Ownership

Inventorship

- The *inventor(s)* are the persons who contributed to the **original idea** of the invention.
- Only inventors can be named on a patent application.

Ownership

- Ownership is a **property right**, which can be transferred or assigned.
- An inventor may or may not be the owner of the patent.

Issue:

Confusion between inventors and owners often leads to disputes.

Example: A company employing inventors may own the patent even though its employees invented it.

2. Employer–Employee Inventions

This is one of the most common ownership issues.

Employer Ownership

In many countries, inventions made:

- **During employment,**
- **Using employer's resources, or**
- **Within the scope of assigned duties**

belong to the employer.

Employees usually sign:

- **Employment agreements**
- **Invention assignment contracts**

Employee Ownership

If an employee invents something:

- Using **personal resources,**
- **Outside working hours,** and
- Not related to their job duties

then the employee may own the invention.

Issue: Conflicts arise when employers claim ownership of inventions developed after hours or outside the job scope.

3. Joint Ownership Problems

When multiple inventors contribute, they become **joint owners**.

Problems include:

- One owner may license the patent **without consulting others** (in some jurisdictions).
- Sharing profits can become difficult.
- One joint owner may sell their share to a competitor.
- Disputes about who contributed what.

Joint ownership is often messy unless a contract clearly defines rights.

4. Government-Funded Inventions

If government funding is used in research:

- The government may claim **rights to the patent** (e.g., under the Bayh–Dole Act in the U.S.).
- Universities or research institutions may own the patent instead of the researcher.

Issue: Inventors may not be the owners; universities or funding agencies may assert ownership.

5. Assignment and Transfer Issues

Patents are **transferable property**.

Issues include:

- Ambiguous assignment clauses
- Incorrect wording (e.g., future vs. present assignment)
- Disputes when inventors refuse to sign assignments
- Conflicts when patents are sold during mergers or acquisitions

If assignment documents are not clear, ownership becomes legally uncertain.

6. Ownership in Collaborative Research

Collaboration between:

- Universities
- Companies
- Multiple inventors
- Foreign partners

creates ownership complications such as:

- Who owns improvements?
- Who owns derivative inventions?
- What if one partner leaves the project?
- How is revenue shared?

Without proper agreements (MoUs, IP contracts), disputes are common.

7. Patent Ownership After Death

Patents are inherited like property.

Issues arise regarding:

- Division among heirs
- Licensing rights
- Transfer of renewal responsibilities

Failure to properly transfer ownership can cause the patent to lapse.
